

stock market, because the companies (businesses) that make up the stock market are also driven by supply and demand.

The performance of these same companies ties into job creation and employment or the lack thereof and influences how comfortable people are with spending money depending on how the economy is doing. In growing economies there are typically lots of jobs available and people typically spend more money because they feel good that the economy is doing well, whereas in recessions unemployment is higher and people are typically more cautious with the way they spend money due to a higher feeling of uncertainty. Basically, all of these things boil down to what is typically known as economic cycles.

HOW THE ECONOMY AFFECTS YOUR PORTFOLIO

As you start to think about investing now and into the future, it's important to understand the direct impact the economy and stock market have on your investments. The behavior of the economy can affect your portfolio in several ways, including:

- **Through inflation.** Inflation is essentially the increased costs of goods and services and the decline of the purchasing power that money has. For instance, inflation can cause the same exact product (like bread or milk) to cost more today than it did five years ago. High inflation reduces the purchasing power of the dollar, so \$50 now will buy you fewer groceries than it used to. Since high inflation can make it expensive to buy goods and services, it discourages consumers from making as many purchases. This causes companies to have lower sales and in turn less revenue, in which case their stock value could fall.

On the other hand, low inflation means people have more spending power and companies are doing well with sales and revenue, which in turn causes their stock value to rise. This rise and fall of stocks in relation to inflation directly affects your portfolio because if the value of a stock you own falls, your investment is worth less, and if the value of the stock increases, your investment is worth more in turn.